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ADVISORS

Unity (U) Investment Recommendation
$26.01 (as of Apr 25 2026)

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Contents

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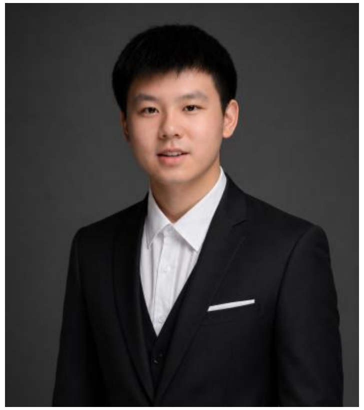
"If you're not on the inside, you're on the outside"

Executive Equities Team

Hyunbae Kim

Asia Head of Equities



Feng Yi

Global Head of Equities

Gupta

Universal Head of Equities

Stephen

Founding Partner of Universe

Historical Performance

All Weather Equities Fund VI	1,573%
S&P 500	119%

(1) Equity Fund Performance is net of fees as of Apr 2026 since inception

Our Analysts Remain Underweight on Unity (U) and Recommend Clients to NOT invest

Among management & industry headwinds including restructuring, tepid growth, and losses, our investment thesis is threefold:

Inability to return capital	No dividends, buybacks and shareholder return policies due to massive accumulated deficit of $4.14Bn
Balance Sheet Risk	Net loss until 2028, refinancing risks on 2027 convertible bonds
Inefficient Spending	Up to 5x higher spending across all operating cost line items including R&D, selling, and cost of sales compared to peers

Unity Software Inc (NYSE: U)

Company Overview

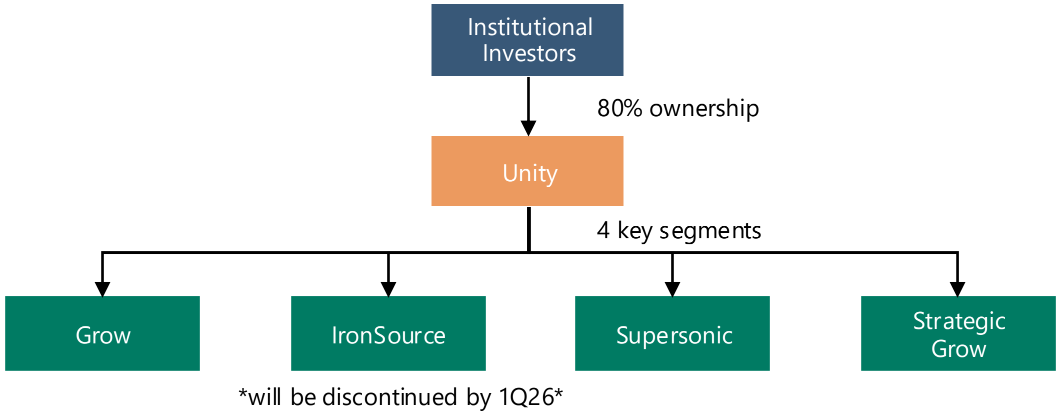
- Unity Technologies ("Unity") is a leading 3D software platform known for its Unity game engine, used by developers to create, operate, and monetize interactive content across gaming, mobile, console, AR/VR, and increasingly non-gaming industries such as automotive, film, and architecture
- The company generates revenue through a mix of subscription-based Create Solutions (engine licenses and tools) and Operate Solutions (ads, in-app monetization, analytics), serving millions of developers globally and powering a significant share of mobile and indie game content distribution
- Unity has faced recent headwinds from a slowdown in mobile gaming ad spend and execution missteps in its monetization segment, prompting restructuring efforts, cost reductions, and a strategic refocus on core engine leadership and profitability

International Ratings	Moody's: NR, S&P: NR, Fitch: NR
Share Price	$26.01 as of Apr 25, 2026
Market Cap	USD11.35Bn as of Apr 25, 2026

Business Overview

Business	Products	Description
Create Solutions	• Unity Engine (2D/3D) • Editor tools • Cloud & Developer Operations tools	• 30-35% of total revenue (subscription based) • Core platform used by developers to build real-time 3D content across mobile, PC, console, AR/VR • Strong penetration in mobile and indie gaming; expanding into non-gaming verticals (auto, film, architecture)
Operate Solutions (Grow)	• Ads (Unity Ads, ironSource) • In-app monetization • User acquisition tools	• 60-65% of total revenue • Enables developers to monetize and scale games via ads and analytics • Highly exposed to mobile gaming ad spend cycles; recent volatility due to data/modeling issues and macro ad shutdown
Strategic / Emerging	• Digital twins • Simulation tools • AI-assisted development	• Smaller but growing segment • Focus on enterprise use cases (auto design, industrial simulation) • Management refocusing on high-margin core products and AI-driven workflow improvements

Organizational Chart



Financials

(Unit: USD Mn)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023
Revenue	**1,849.65**	**1,813.23**	**2,187.32**
% growth	2%	(17%)	57%
Cost of revenue	477.74	480.85	733.72
Gross profit	**1,371.91**	**1,332.37**	**1,453.60**
Operating expenses	1,850.96	2,087.55	2,286.39
EBIT	**(479.05)**	**(755.18)**	**(832.79)**
% margin	(26%)	(42%)	(38%)
Interest expense	(24.01)	(23.54)	(24.58)
Net Income (loss)	**(401.49)**	**(664.32)**	**(826.32)**
Capex	**(19.02)**	**(29.55)**	**(55.92)**
Gross Debt	2,358.01	2,403.93	2,928.95
Cash	2,055.84	1,517.67	1,590.33
Net Debt	**302.17**	**886.25**	**1,338.62**
Free Cash Flow	**536.42**	**(76.38)**	**98.58**

Source: Company Public Disclosure, Press Release

Underperforming Share Price Since IPO

Equity Metrics

	1Q26
S/O	436m
Employees	4,000
Beta	2.00
Avg Vol	14.9m
Free Float	20%

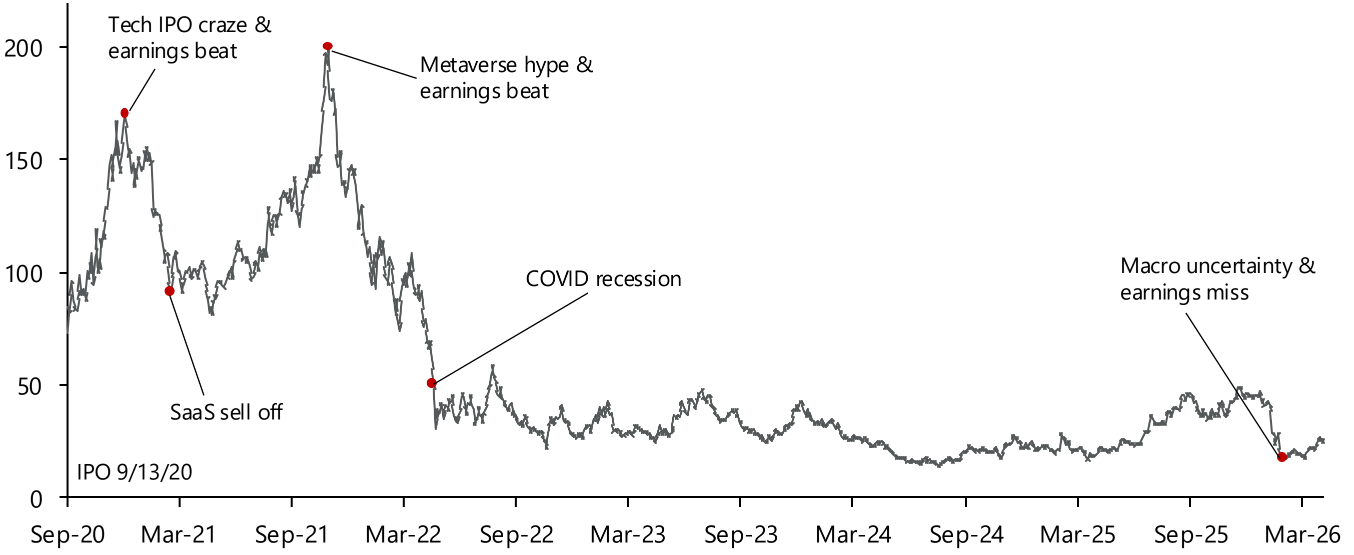
	2025	2024	2023
Price/Earnings	-46.4	-14.4	-18.3
Dividend Yield	-	-	-
EPS (diluted)	(0.95)	(1.68)	(2.17)
APIC	227.3%	216.9%	196.2%
Treasury Activity	-	-	-

Trailing	Returns
1-month	46.1%
3-month	(32.3%)
6-month	(33.6%)
1-year	15.8%
5-year	74.8%

Key Metrics

	2025	2024	2023
EBITDA Coverage	(0.8x)	(14.7x)	(10.9x)
Debt / Equity	0.7x	0.7x	0.9x
Cash Conv. Cycle (days)	116	105	95
ROA	(5.9%)	(9.5%)	(11.1%)
ROE	(12.5%)	(20.8%)	(24.6%)

Stock Performance



Recent News

2025

- "Unity to **Cut Jobs and Reset Strategy** After Ad-Tech Missteps" – Bloomberg (Jan 2025)
Announced restructuring, pivoting back to core engine after ad-tech execution issues
- "Unity Names New Leadership to **Drive Profitability Push**" – Bloomberg (Feb 2025)
Management changes aimed at improving operations and restoring investor confidence
- "Unity Shares Rise on Early Signs of **Ad Business Stabilization**" – Reuters (Aug 2025)
Stock gained on improving ad performance and early turnaround traction
- "Unity Beats Revenue Estimates but Signals Cautious Outlook" – Reuters (Nov 2025)
Earnings beat expectations, but soft guidance highlighted ongoing macro uncertainty

2026

- "Unity Reports Earnings With **Weak Guidance**, Shares Slide" – Bloomberg (Feb 2026)
Forward guidance disappointed, driving selloff despite stable performance
- "Unity Plans to **Exit** Parts of Its **Advertising Business**" – Company Release (Mar 2026)
Announced exit from non-core ad units (ironSource-related assets)
- "Unity's Turnaround Hinges on **AI and Engine Strength**" – Financial Times (Mar 2026)
FT highlights AI tooling and engine leadership as key to long-term recovery
- "Unity **Expands AI Capabilities** for **Game Development**" – Press Release (Apr 2026)
Introduced AI-driven development tools, aiming to lower barriers and expand adoption

<Source: Bloomberg>

Competitive Position (Unity vs. Roblox & AppLovin)

Operating Expense Comparison (as % of Revenue, 2025):

Unity	2025	2024	2023
R&D	50%	51%	48%
Sales	35%	42%	38%
G&A	15%	23%	18%

Roblox	2025	2024	2023
R&D	32%	40%	45%
Sales	5%	5%	5%
G&A	12%	11%	14%

AppLovin	2025	2024	2023
R&D	4%	12%	18%
Sales	4%	8%	12%
G&A	4%	5%	8%

Cash Collection Efficiency (DSO)

Roblox	Unity
67 Days	127 Days

Operating Expense Analysis

<u>Operating Expenses are 5x higher than industry peers</u>

- Elevated R&D Investment Intensity: Unity's commitment to Research and Development remains significantly more aggressive than its primary peers, with R&D costs averaging 50% of total revenue; this stands in stark contrast to Roblox, which allocates 32%, and AppLovin, which maintains a lean 4%—indicating that Unity is carrying a much heavier innovation tax to maintain its engine's technical edge.
- Disproportionate Sales and Marketing Spend: When examining go-to-market efficiency, Unity's sales expenses account for 35% of its revenue, a figure that vastly exceeds the streamlined operations of its competitors; by comparison, Roblox and AppLovin demonstrate much higher levels of organic or automated scaling, spending only 5% and 4% respectively to acquire and retain their user bases.
- Outsized Administrative Overhead: The trend of high expenditure extends into general and administrative (G&A) costs, where Unity utilized 15% of its 2025 revenue for corporate overhead; this overhead is nearly triple the relative spending of Roblox (5%) and AppLovin (4%), highlighting a critical need for Unity to optimize its operational infrastructure to align with industry-standard efficiency benchmarks.

Cash Collection Efficiency Analysis

<u>DSO and CCC are 2x higher than competitors</u>

- Critical Lag in Receivable Collection: Unity's Days Sales Outstanding (DSO) reached 127 days in 2025, a figure that is nearly double the 67-day DSO maintained by Roblox Corporation; this gap indicates that Unity takes significantly longer to convert its sales into actual cash, representing a major inefficiency in its credit and collections processes compared to its closest industry peer.
- Impact on Operational Cash Flow: Since inventory and accounts payable are negligible factors in the software industry, the Cash Conversion Cycle is driven almost entirely by DSO—meaning Unity's sluggish collection cycle directly hampers its liquidity.

Appendix A: Competition (Roblox)

ROBLOX CORPORATION
CONSOLIDATED STATEMENTS OF OPERATIONS
(in thousands, except per share amounts)

	Year Ended December 31,		
	2025	2024	2023
Revenue	$ 4,890,551	$ 3,601,979	$ 2,799,274
Costs and expenses:			
Cost of revenue (1)	1,072,299	801,162	649,115
Developer exchange fees	1,503,106	922,821	740,752
Infrastructure and trust & safety	1,153,454	915,418	878,361
Research and development	1,567,747	1,444,207	1,253,598
General and administrative	580,114	407,507	390,055
Sales and marketing	246,173	174,181	146,460
Total costs and expenses	6,122,893	4,665,296	4,058,341
Loss from operations	(1,232,342)	(1,063,317)	(1,259,067)
Interest income	201,610	179,531	141,818
Interest expense	(41,457)	(41,184)	(40,707)
Other income/(expense), net	4,164	(11,530)	(527)
Loss before income taxes	(1,068,025)	(936,500)	(1,158,483)
Provision for/(benefit from) income taxes	3,593	4,114	454
Consolidated net loss	(1,071,618)	(940,614)	(1,158,937)
Net loss attributable to noncontrolling interest	(6,561)	(5,230)	(6,991)
Net loss attributable to common stockholders	$ (1,065,057)	$ (935,384)	$ (1,151,946)
Net loss per share attributable to common stockholders, basic and diluted	$ (1.54)	$ (1.44)	$ (1.87)
Weighted-average shares used in computing net loss per share attributable to common stockholders —basic and diluted	689,612	647,482	616,445

<Source: Roblox 2025 SEC Filing>

Appendix B: Competition (AppLovin)

AppLovin Corporation
Consolidated Statements of Operations
(In thousands, except per share data)

	Year Ended December 31,		
	2025	2024	2023
Revenue	$ 5,480,717	$ 3,224,058	$ 1,841,762
Costs and expenses:			
Cost of revenue	665,140	520,613	356,613
Sales and marketing	203,651	252,863	228,025
Research and development	226,510	374,710	333,781
General and administrative	233,502	164,916	150,932
Total costs and expenses	1,328,803	1,313,102	1,069,351
Income from operations	4,151,914	1,910,956	772,411
Other income (expense):			
Interest expense and loss on settlement of debt	(207,016)	(317,209)	(273,508)
Other income, net	8,012	18,196	2,699
Total other expense, net	(199,004)	(299,013)	(270,809)
Income before income taxes	3,952,910	1,611,943	501,602
Provision for income taxes	519,715	22,419	43,776
Net income from continuing operations	3,433,195	1,589,524	457,826
Loss from discontinued operations, net of income taxes	(99,444)	(9,748)	(101,115)
Net income	$ 3,333,751	$ 1,579,776	$ 356,711

<Source: AppLovin Corp 2025 SEC Filing>

Our Analysts Remain Underweight on Unity (U) and Recommend Clients to NOT invest

Persistent Losses	• $(4.14B) accumulated deficit ; never profitable since founding • OpEx of $1,850.96M exceeds revenue of $1,849.65M in 2025 • SBC consumes 20.8% of revenue ; 2–4× industry norm of 5–10% • Net losses every year: $(919M) → $(826M) → $(664M) → $(401M) • No credible near-term path to GAAP profitability
Balance Sheet Risk	• $2.23B convertible notes ~100% due within 3 years • Goodwill $3.17B (46% of assets) non-productive, impairment risk • Accumulated deficit exceeds total equity of $3.25B critical red flag • DSO worsening 102 → 127 days ; cash collection deteriorating • Altman Z-Score of 4.81 masks structural debt refinancing pressure
Inefficient Spending	• AppLovin revenue $3.22B vs Unity $1.81B ; nearly 2× larger • AppLovin net income $1.58B vs Unity loss of $(664M) in 2024 • AppLovin EPS $4.53 vs Unity $(1.68) ; stark profitability gap • AppLovin market cap ~$110B vs Unity ~$9.9B 11× premium • Unity's Vector AI unproven vs AppLovin’s established AXON model

(1) While FCF is improving and losses are narrowing , these risks collectively make Unity an unsuitable investment at this stage. Revisit if Unity achieves GAAP profitability and resolves its debt obligations

Addressing the Bulls: What about reduced losses and positive growth?

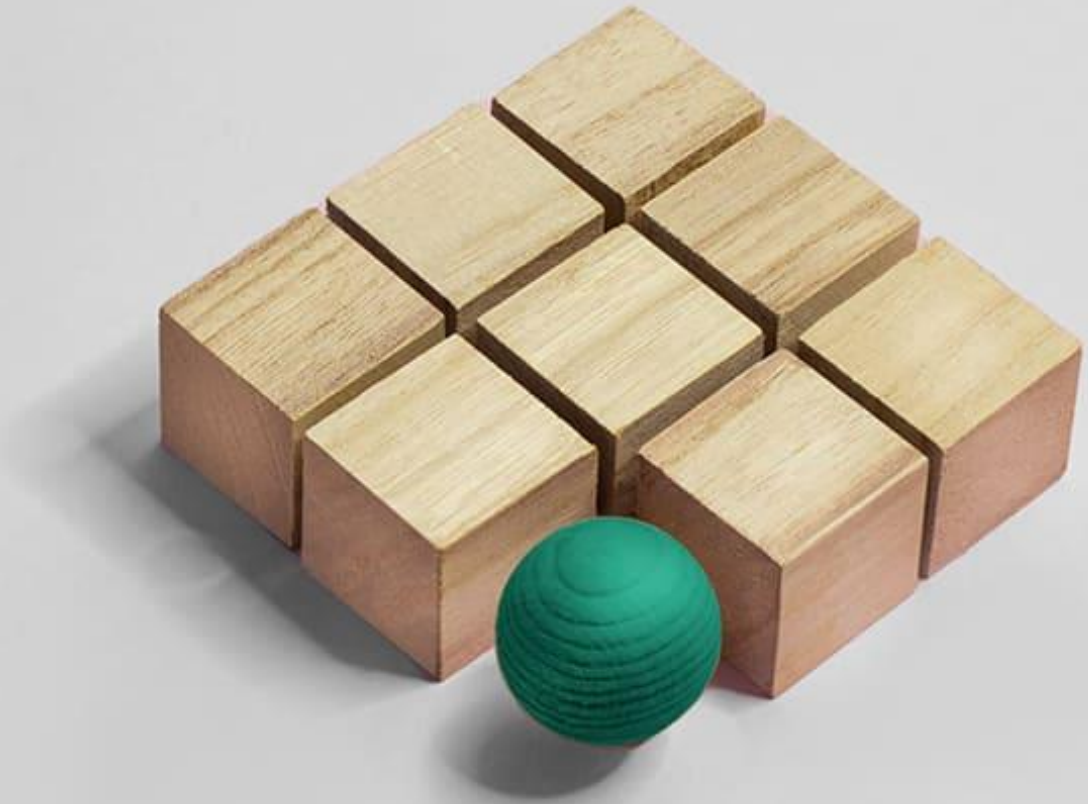
Reduced Losses Are Still Massive Losses

Metric	2023	2025	2-yr Improvement	But Still...
Net Loss	$(826M)	$(401M)	51%	Losing $401M per year
Loss / Share	$(2.17)	$(0.96)	56%	Losing money per share
Operating Exp (% of revenue)	104%	100%	4%	Still spending >100% of revenue

Positive Trends Are Mostly Cuts, Not Growth

Positive Trend...	...What Actually Happened
Higher gross margin	Better pricing or lower hosting costs
Reduced operating losses	Layoffs (employees: 6,748 → 4,412)
Lower loss per share	Losses shrank faster than share count grew
Increased revenue/employee	Fired lower-performing staff
Improved free cash flow/debt	Cut spending aggressively

Forecasted Financials



Income Statement Forecast 2026-2030 <Units: millions USD, except EPS>	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	1,391.02	2,187.32	1,813.23	1,849.00	2,229.05	2,498.56	2,768.90	3,061.39	3,376.21
% YoY growth	*25.26%*	*57.25%*	*-17.10%*	*1.97%*	20.55%	12.09%	10.82%	10.56%	10.28%
Revenue Breakdown									
Grow Revenue				1228.00	1,580.59	1,817.67	2,053.97	2,310.72	2,588.00
% growth					28.71%	15.00%	13.00%	12.50%	12.00%
Create Revenue				621.00	648.46	680.89	714.93	750.68	788.21
% growth					3.08%	5.00%	5.00%	5.00%	5.00%
Cost of revenue	442.50	733.72	480.85	477.74	522.29	499.71	553.78	612.28	675.24
% of revenue	*31.81%*	*33.54%*	*26.52%*	*25.84%*	23.50%	20.00%	20.00%	20.00%	20.00%
Gross profit	948.52	1,453.60	1,332.37	1,371.26	1,706.76	1,998.85	2,215.12	2,449.11	2,700.97
% margin	*68.19%*	*66.46%*	*73.48%*	*74.16%*	76.50%	80.00%	80.00%	80.00%	80.00%
Operating expenses									
Research and development	959.49	1,053.59	924.83	929.52	1,080.08	1,124.35	1,107.56	1,071.49	1,012.86
% of revenue	*68.98%*	*48.17%*	*51.00%*	*50.27%*	48.50%	45.00%	40.00%	35.00%	30.00%
Sales and marketing	497.96	834.63	752.65	652.91	745.73	749.57	692.23	612.28	506.43
% of revenue	*35.80%*	*38.16%*	*41.51%*	*35.31%*	34%	30.00%	25.00%	20.00%	15.00%
General and administrative	373.29	398.18	410.07	268.54	299.92	274.84	249.20	214.30	168.81
% of revenue	*26.84%*	*18.20%*	*22.62%*	*14.52%*	13.50%	11.00%	9.00%	7.00%	5.00%
Total operating expenses	1,831.78	2,287.25	2,088.48	1,851.82	2,125.72	2,148.76	2,048.99	1,898.06	1,688.11
% YoY growth		24.86%	-8.69%	-11.33%	14.82%	1.08%	-4.64%	-7.37%	-11.06%
Profit (loss) from operations	(883.26)	(833.66)	(756.10)	(480.56)	-418.96	-149.91	166.13	551.05	1012.86
% YoY growth		-5.62%	-9.30%	-36.44%	-12.82%	-64.22%	-210.82%	231.69%	83.81%
Interest expense	(7.40)	(24.58)	(23.54)	(24.01)	(18.02)	0.00	0.00	0.00	0.00
Interest income and other expense, net	7.19	59.53	111.56	107.86	109.71	109.71	109.71	109.71	109.71
Profit (loss) before income taxes	(883.47)	(798.71)	(668.09)	(396.70)	(327.27)	(40.20)	275.84	660.76	1,122.57
Provision for income taxes	37.06	28.48	(2.85)	6.30	0.00	0.00	13.79	33.04	56.13
Net Income (loss)	**(920.54)**	**(827.19)**	**(665.24)**	**(403.00)**	**(327.27)**	**(40.20)**	**262.05**	**627.72**	**1,066.45**
Net Profit (loss) attributable to noncontrolling interest and redeemable noncontrolling interests	(1.30)	(4.31)	(0.17)	1.27	0.00	0.00	0.00	0.00	0.00
Adjustments attributable to redeemable noncontrolling interests	2.87	-	-	-	0.00	0.00	0.00	0.00	0.00
Net profit (loss) attributable to Unity Software Inc.	**(922.11)**	**(822.87)**	**(665.07)**	**(404.27)**	**(327.27)**	**(40.20)**	**262.05**	**627.72**	**1,066.45**
Basic and diluted net loss per share attributable to basic and diluted net loss per share	(2.97)	(2.16)	(1.68)	(0.96)	(0.74)	(0.09)	0.54	1.23	1.99
Weighted-average shares used in computation of basic and diluted net loss per share	310.50	380.46	395.95	420.91	441.96	464.06	487.26	511.62	537.20

<Source: Company Analysts>

Income Statement Forecast 2026-2030 <Units: millions USD, except EPS>	Q1 25'	Q2 25'	Q3 25'	Q4 25'	2025A	Q1 26'E	Q2 26'E	Q3 26'E	Q4 26'E	2026E
Revenue	435.00	441.00	470.00	503.00	1,849.00	507.00	546.85	574.87	600.33	2,229.05
% YoY growth	*-6.00%*	*-2.00%*	*3.00%*	*10.00%*	*1.97%*	16.55%	24.00%	22.31%	19.35%	20.55%
Revenue Breakdown										
Grow Revenue	285.00	287.00	318.00	338.00	1228.00	352.00	387.20	410.43	430.95	1,580.59
% growth	*-4.04%*	*-3.69%*	*6.35%*	*11.00%*		23.51%	10.00%	6.00%	5.00%	28.71%
Create Revenue	150.00	154.00	152.00	165.00	621.00	155.00	159.65	164.44	169.37	648.46
% growth	*-8.53%*	*1.98%*	*3.40%*	*8.00%*		3.33%	3.00%	3.00%	3.00%	3.08%
Cost of revenue	113.95	114.21	120.33	129.24	477.74	126.75	131.24	132.22	132.07	522.29
% of revenue	*26.20%*	*25.90%*	*25.60%*	*25.69%*	*25.84%*	25.00%	24.00%	23.00%	22.00%	23.50%
Gross profit	321.04	326.73	350.28	373.85	1,371.26	380.25	415.61	442.65	468.25	1,706.76
% margin	*73.80%*	*74.09%*	*74.53%*	*74.32%*	*74.16%*	75.00%	76.00%	77.00%	78.00%	76.50%
Operating expenses										
Research and development	220.63	214.80	244.35	249.73	929.52	253.50	262.49	275.94	288.16	1,080.08
% of revenue	*50.72%*	*48.71%*	*51.99%*	*49.65%*	*50.27%*	50.00%	48.00%	48.00%	48.00%	48.50%
Sales and marketing	162.03	161.51	165.87	163.51	652.91	177.45	180.46	189.71	198.11	745.73
% of revenue	*37.25%*	*36.62%*	*35.29%*	*32.51%*	*35.31%*	35%	33%	33%	33%	34%
General and administrative	66.34	69.17	65.91	67.12	268.54	76.05	71.09	74.73	78.04	299.92
% of revenue	*15.25%*	*15.68%*	*14.02%*	*13.34%*	*14.52%*	15.00%	13.00%	13.00%	13.00%	13.50%
Total operating expenses	448.98	445.49	476.14	480.36	1,851.82	507.00	514.04	540.38	564.31	2,125.72
% YoY growth					-11.33%	12.92%	15.39%	13.49%	17.48%	14.82%
Profit (loss) from operations	(127.94)	(118.75)	(125.86)	(106.51)	(480.56)	-126.75	-98.43	-97.73	-96.05	-418.96
% YoY growth					-36.44%	-0.93%	-17.11%	-22.35%	-9.82%	-12.82%
Interest expense	(5.89)	(6.03)	(6.04)	(6.04)	(24.01)	(4.50)	(4.50)	(4.50)	(4.50)	(18.02)
Interest income and other expense, net	58.11	19.84	14.45	15.47	107.86	27.43	27.43	27.43	27.43	109.71
Profit (loss) before income taxes	(75.72)	(104.94)	(117.45)	(97.08)	(396.70)	(103.83)	(75.51)	(74.80)	(73.13)	(327.27)
Provision for income taxes	2.19	2.42	9.38	(7.69)	6.30	0.00	0.00	0.00	0.00	0.00
Net Income (loss)	**(77.64)**	**(107.37)**	**(126.83)**	**(89.39)**	**(403.00)**	**(103.83)**	**(75.51)**	**(74.80)**	**(73.13)**	**(327.27)**
Net Profit (loss) attributable to noncontrolling interest and redeemable noncontrolling interests	(0.26)	1.43	0.47	0.57	1.27	0.00	0.00	0.00	0.00	0.00
Adjustments attributable to redeemable noncontrolling interests	-	-			-	0.00	0.00	0.00	0.00	0.00
Net profit (loss) attributable to Unity Software Inc.	**(76.72)**	**(108.80)**	**(126.36)**	**(89.96)**	**(404.27)**	**(103.83)**	**(75.51)**	**(74.80)**	**(73.13)**	**(327.27)**
Basic and diluted net loss per share attributable to basic and diluted net loss per share		(0.26)	(0.30)	(0.21)	(0.96)	(0.23)	(0.17)	(0.17)	(0.17)	(0.74)
Weighted-average shares used in computation of basic and diluted net loss per share		417.57	424.30	429.83	420.91	441.96	441.96	441.96	441.96	441.96

<Source: Company Analysts>

Appendix C: Forecast Assumptions

Revenue growth calculations done based on Q1 2026 preliminary results and CAGR growth of revenue segments
CAGR of in-app advertising (20% CAGR from 2026 to 2030 assuming 173bn to 432bn global market growth)
CAGR of game engine market (16% CAGR assuming 3.5 to 8.5bn market in 2030)
CAGR of mobile gaming market (8% CAGR assuming 110bn to 160bn global market in 2030)
CAGR of digital advertising (13.5% CAGR assuming 312bn to 589bn in 2030)

As **historical COGS** as % of revenue was stable, past averages were used, factoring in long term industry average of 20%

Gross Profit assumed to be stable at 74-75%, until reaching long term industry average of 80%
Although the disposal of IronSource will produce cost savings, expansion of Strategic Growth business will offset cost savings and produce steady OpEx as a % of rev
R&D forecasted as % of historical revenue, until reaching industry average of 30%
Sales and marketing forecasted as % of historical revenue, until reaching industry average of 15%
General and admin forecasted as % of historical revenue, until reaching industry average of 5%

Company will **turn profitable in 2028**, inline with street consensus
As historical **interest** on long term liabilities + convertible debt was at 1%, 1% was set as 2026 and 2027 interest rates and 0 after convertible bond maturity in 2027 onwards
Interest Income set as average of 2025 and 2024, removing earlier outliers

Deferred Tax Assets were forecasted assuming 80% of profit is shielded from net operating loss of 2027 with a marginal tax rate of 25%, set 2026-2027 provision for taxes at 0 due to difficulty in forecasting it accurately

Noncontrolling interest projected to be insignificant

Share issuances and treasury stock not guided in 10k, assume outstanding share count grows at historical average of 4%

Unity Past Performance Notes:
"Unity's business segments consist of Strategic Grow (monetization, advertising, user acquisition) and Strategic Create (core game engine and developer tools). As quarterly preliminary guidance is largely inline with actual results, Q1 2026E was taken from mgmt guidance and Q2, Q3, Q4 2026E growth used YoY projected growth from 2025 quarterly figures and total market growth rates wereused for long term growth rates from 2026 to 2030 assuming conservative market share growth, similar profit margins, and expansion of Strategic Grow business and disposal of IronSource business in Q2 2026.Q1 2025: Revenue was $435 million, down 6% year-over-year driven by our portfolio reset.
Create Solutions revenue was $150 million, down 8% year-over-year, primarily due to a decrease in professional services revenue and consumption services revenue, both caused by the portfolio reset. The year-over-year decrease was partially offset by strong growth in subscription revenue.
Grow Solutions revenue was $285 million, down 4% year-over-year. The change was driven by declines in select Grow products, partially offset by the earlier than expected rollout of Unity Vector.Q2 2025:Revenue was $441 million, down 2% year-over-year.
Create Solutions revenue was $154 million, up 2% year-over-year, primarily driven by the sale of a term license for approximately $12 million and increases in subscription revenue. Growth was negatively impacted by decreases in non-strategic professional services revenue and consumption services revenue.
Grow Solutions revenue was $287 million, down 4% year-over-year. The change was driven by strong performance for the Unity Ad Network, which grew 15% quarter-over-quarter in Q2 (now represents 49% of total Grow Solutions revenue) offset by declines in select other Ads products.Q3 2025: Create Solutions revenue was $152 million, up 3% year-over-year. The increase was driven by strong growth in subscription revenue, offset by decreases in consumption services revenue, driven by our portfolio reset.
Grow Solutions revenue was $318 million, up 6% year-over-year. The increase was driven by strong performance of the Unity Ad Network, powered by Unity Vector. The growth was slightly offset by year-over-year declines in our other Grow businesses.Q4 2025:Revenue was $503 million, up 10% year-over-year.
Create Solutions revenue was $165 million, up 8% year-over-year. The increase was driven by strong growth in subscription revenue.
Grow Solutions revenue was $338 million, up 11% year-over-year. The change was driven by mid-teen sequential quarterly revenue growth from Unity Vector, which represented 56% of total Grow Solutions revenue in the fourth quarter. The growth was partially offset by declines in the IronSource Ad Network, which represented 11% of total Grow Solutions revenue in the fourth quarter."

Income Statement Forecast 2026-2030 <Units: millions USD, except EPS>	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	1,391.02	2,187.32	1,813.23	1,849.00	2,229.05	2,498.56	2,768.90	3,061.39	3,376.21
% YoY growth	*25.26%*	*57.25%*	*-17.10%*	*1.97%*	20.55%	12.09%	10.82%	10.56%	10.28%
Revenue Breakdown									
Grow Revenue				1228.00	1,580.59	1,817.67	2,053.97	2,310.72	2,588.00
% growth					28.71%	15.00%	13.00%	12.50%	12.00%
Create Revenue				621.00	648.46	680.89	714.93	750.68	788.21
% growth					3.08%	5.00%	5.00%	5.00%	5.00%
Cost of revenue	442.50	733.72	480.85	477.74	522.29	499.71	553.78	612.28	675.24
% of revenue	*31.81%*	*33.54%*	*26.52%*	*25.84%*	23.50%	20.00%	20.00%	20.00%	20.00%
Gross profit	948.52	1,453.60	1,332.37	1,371.26	1,706.76	1,998.85	2,215.12	2,449.11	2,700.97
% margin	*68.19%*	*66.46%*	*73.48%*	*74.16%*	76.50%	80.00%	80.00%	80.00%	80.00%
Operating expenses									
Research and development	959.49	1,053.59	924.83	929.52	1,080.08	1,124.35	1,107.56	1,071.49	1,012.86
% of revenue	*68.98%*	*48.17%*	*51.00%*	*50.27%*	48.50%	45.00%	40.00%	35.00%	30.00%
Sales and marketing	497.96	834.63	752.65	652.91	745.73	749.57	692.23	612.28	506.43
% of revenue	*35.80%*	*38.16%*	*41.51%*	*35.31%*	34%	30.00%	25.00%	20.00%	15.00%
General and administrative	373.29	398.18	410.07	268.54	299.92	274.84	249.20	214.30	168.81
% of revenue	*26.84%*	*18.20%*	*22.62%*	*14.52%*	13.50%	11.00%	9.00%	7.00%	5.00%
Total operating expenses	1,831.78	2,287.25	2,088.48	1,851.82	2,125.72	2,148.76	2,048.99	1,898.06	1,688.11
% YoY growth		24.86%	-8.69%	-11.33%	14.82%	1.08%	-4.64%	-7.37%	-11.06%
Profit (loss) from operations	(883.26)	(833.66)	(756.10)	(480.56)	-418.96	-149.91	166.13	551.05	1012.86
% YoY growth		-5.62%	-9.30%	-36.44%	-12.82%	-64.22%	-210.82%	231.69%	83.81%
Interest expense	(7.40)	(24.58)	(23.54)	(24.01)	(18.02)	0.00	0.00	0.00	0.00
Interest income and other expense, net	7.19	59.53	111.56	107.86	109.71	109.71	109.71	109.71	109.71
Profit (loss) before income taxes	(883.47)	(798.71)	(668.09)	(396.70)	(327.27)	(40.20)	275.84	660.76	1,122.57
Provision for income taxes	37.06	28.48	(2.85)	6.30	0.00	0.00	13.79	33.04	56.13
Net Income (loss)	**(920.54)**	**(827.19)**	**(665.24)**	**(403.00)**	**(327.27)**	**(40.20)**	**262.05**	**627.72**	**1,066.45**
Net Profit (loss) attributable to noncontrolling interest and redeemable noncontrolling interests	(1.30)	(4.31)	(0.17)	1.27	0.00	0.00	0.00	0.00	0.00
Adjustments attributable to redeemable noncontrolling interests	2.87	-	-	-	0.00	0.00	0.00	0.00	0.00
Net profit (loss) attributable to Unity Software Inc.	**(922.11)**	**(822.87)**	**(665.07)**	**(404.27)**	**(327.27)**	**(40.20)**	**262.05**	**627.72**	**1,066.45**
Basic and diluted net loss per share attributable to basic and diluted net loss per share	(2.97)	(2.16)	(1.68)	(0.96)	(0.74)	(0.09)	0.54	1.23	1.99
Weighted-average shares used in computation of basic and diluted net loss per share	310.50	380.46	395.95	420.91	441.96	464.06	487.26	511.62	537.20

Top line growth is unpredictable

OpEx remains high

Not profitable until 2028

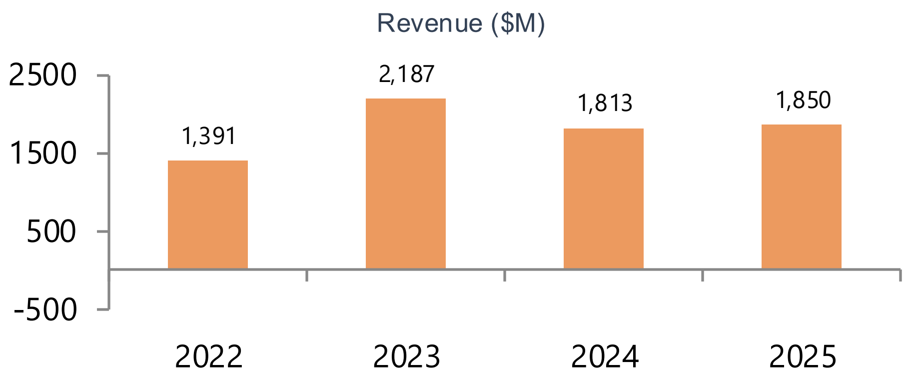
<Source: Company Analysts>

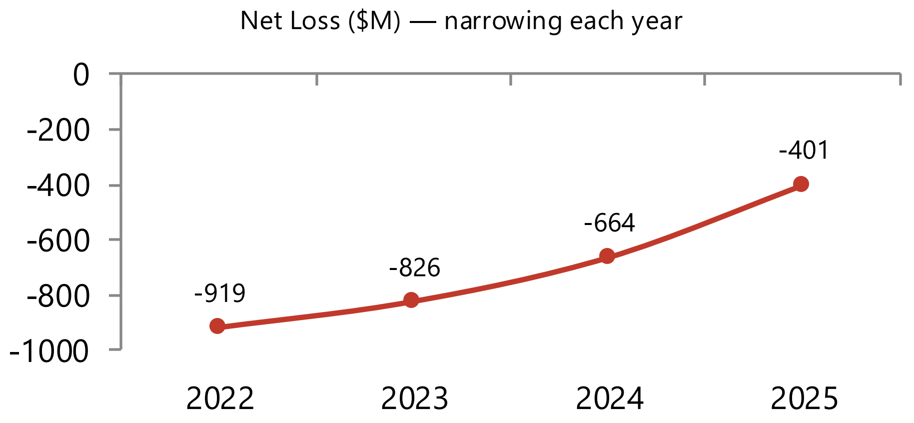
Appendix D: Financials & Key Metrics

Income Statement (USD$mn)

Metric	2022	2023	2024	2025
Revenue	$1,391	$2,187	$1,813	$1,850
Cost of Revenue	$443	$734	$481	$478
Gross Profit	$949	$1,454	$1,332	$1,372
Gross Margin	68.2%	66.5%	73.5%	74.2%
R&D	$959	$1,054	$925	$930
Sales & Marketing	$498	$835	$753	$653
G&A	$373	$398	$410	$269
Operating Loss	$(882)	$(833)	$(755)	$(479)
Operating Margin	–63.4%	–38.1%	–41.6%	–25.9%
Net Loss	$(919)	$(826)	$(664)	$(401)
Diluted EPS	$(2.97)	$(2.17)	$(1.68)	$(0.96)

Trends





(1) 74% gross margin but operating expenses consume 100%+ of revenue. Looses improving: $(919M) → $(401 M) over 4 years.

Balance Sheet (USD$mn)

Item	2022	2023	2024	2025
Cash & Equivalents	$1,485	$1,590	$1,518	$2,056
Accounts Receivable	$102	$612	$574	$644
Total Current Assets	**$2,221**	**$2,325**	**$2,225**	**$2,812**
Goodwill	$3,201	$3,166	$3,166	$3,166
Intangible Assets	$1,922	$1,407	$1,066	$651
Total Assets	**$7,690**	**$7,243**	**$6,737**	**$6,838**
Current Liabilities	$1,010	$894	$889	$1,526
Convertible Notes (LT)	$2,707	$2,712	$2,239	$1,679
Total Liabilities	**$4,080**	**$3,829**	**$3,310**	**$3,341**
APIC	$5,780	$6,259	$6,936	$7,378
Accumulated Deficit	$(2,250)	$(3,072)	$(3,736)	$(4,139)
Total Equity	**$3,537**	**$3,191**	**$3,199**	**$3,245**

Trends

46.3%

Goodwill / Total Assets

Non-productive — ironSource legacy

–39%

Intangibles YoY (2025)

Amortizing fast from acquisition

+35.5%

Cash YoY (2025)

Driven by $690M new convertible notes

$(4.1B)

Accumulated Deficit

Exceeds total equity — sustained losses

1.84x

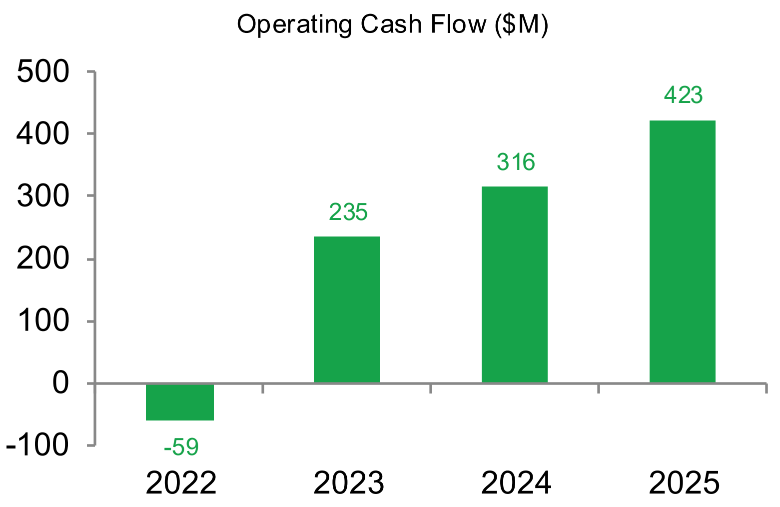
Current Ratio (2025)

Declined from 2.60x — notes coming due

Cash Flow Statement (USD$mn)

Cash Flow Item	2022	2023	2024	2025
Net loss	$(919.5)	$(826.3)	$(664.3)	$(401.5)
Depreciation & Amortization	$211.6	$563.9	$409.0	$460.9
Stock-Based Compensation	$550.1	$648.7	$596.2	$385.2
Net Cash from Operating Activities	**$(59.4)**	**$234.7**	**$315.6**	**$423.0**
Net Cash from Investing Activities	$723.2	$44.0	$(42.4)	$(24.0)
Net Cash from Financing Activities	$(226.6)	$(174.0)	$(338.3)	$110.1
Net Change in Cash	$439.1	$98.6	$(76.4)	$536.4
Ending Cash Balance	**$1,505.7**	**$1,604.3**	**$1,527.9**	**$2,064.3**

Trends

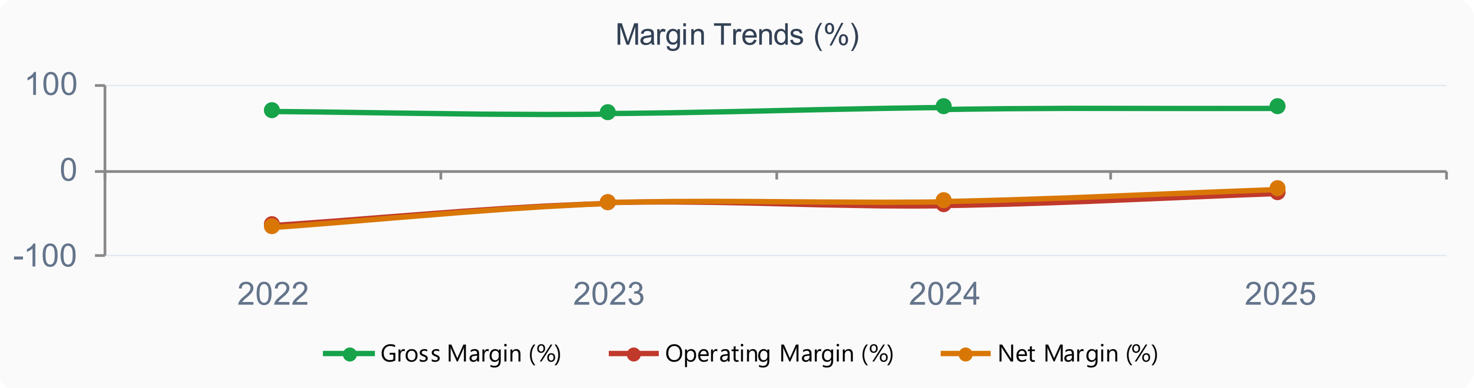


Why FCF ≠ Net Loss

SBC (2025): $385M
D&A (2025): $461M
Total non-cash: $846M

✓ Unity turned cash flow positive in 2023. Operating CF grew from $(59.4M) in 2022 to $423M in 2025. GAAP losses driven by non-cash charges (SBC + D&A = $846M), not actual cash burn.

Profitability Metrics



Ratio	2023	2024	2025	Trend
RNOA	−18.4%	−17.3%	−12.4%	↑
NOPM	−39.4%	−41.5%	−26.2%	↑
NOPAT	$(861M)	$(752M)	$(485M)	↑
NOAT	0.47x	0.42x	0.47x	→
ROA	−11.1%	−9.5%	−5.9%	↑
ROE	−24.6%	−20.8%	−12.5%	↑
FCF/NI	−21.6%	−43.1%	−100.6%	↓
R&D % Rev	48.2%	51.0%	50.3%	→
SBC % Rev	29.7%	32.9%	20.8%	↑

74.2%

Gross Margin 2025
Strong & improving ↑

−25.9%

Operating Margin 2025
Improving from −41.6% in 2024 ↑

20.8%

SBC as % of Revenue
Industry norm: 5–10% ⚠

$(0.96)

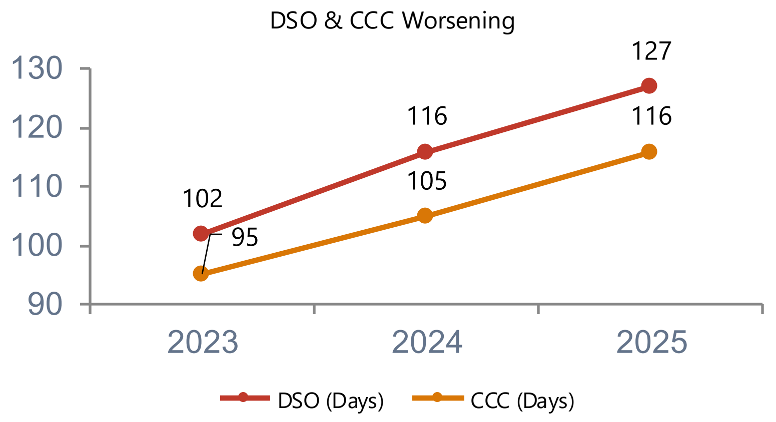
Diluted EPS 2025
Improved 56% from $(2.17) in 2023 ↑

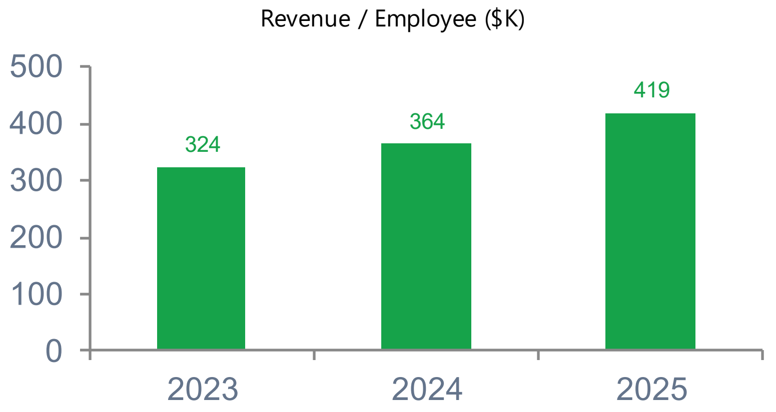
⚠ Despite 74% gross margin, R&D + S&M + G&A = 100%+ of revenue every year. SBC $385M alone equals 3× the GAAP net loss improvement in 2025.

Efficiency Metrics

Efficiency Metric	2023	2024	2025	Signal
DSO (Days)	102	116	127	↓ BAD
DIO (Days)	N/A	N/A	N/A	—
DPO (Days)	7	11	11	→
Cash Conv. Cycle	95	105	116	↓ BAD
PPE Turnover	16.6x	15.1x	22.1x	↑ GOOD
Revenue/Employee ($K)	$324	$364	$419	↑ GOOD
SBC % of Revenue	29.7%	32.9%	20.8%	↑ GOOD
Goodwill % Assets	43.7%	47.0%	46.3%	→ HIGH
Intangibles % Assets	19.4%	15.8%	9.5%	↑ GOOD
AR % Assets	8.5%	8.5%	9.4%	→

Trends





⚠ DSO worsening 102 → 127 days: Unity takes 4+ months to collect from customers. CCC 95 → 116 days means cash conversion efficiency is declini ng each year despite top-line recovery.

Debt Financing Metrics

Ratio	2023	2024	2025
Liabilities / Assets (Vert.)	52.9%	49.1%	48.9%
Total Liab. YoY (Horiz.)	−6.2%	−13.6%	+0.9%
Current Ratio	2.60x	2.50x	1.84x
Op. CF / Current Liabilities	26.3%	35.5%	27.7%
Total Liability / Equity	120.1%	103.6%	103.0%
Total Debt / Equity	0.85x	0.70x	0.69x
EBITDA Coverage	−10.94x	−14.70x	−0.75x
LT Debt Proceeds / Fin. Act.	0%	0%	626.8%
Free CF to Debt	6.6%	12.8%	18.1%
Common Shares / Fin. Act.	−43.7%	−22.7%	108.5%
Credit Rating	Not Rated	Not Rated	Not Rated

Trends

Altman Z-Score (2025)

Formula: 6.56(X1) + 3.26(X2) + 6.72(X3) + 1.05(X4)

X1 WC/Assets = 0.188
X2 Ret.Earn/Assets = −0.605
X3 EBIT/Assets = −0.070
X4 Mkt Equity/Liab = 5.734

Z = 4.81 → SAFE ZONE (> 2.6)

Convertible Note Maturity Risk

Current portion (due 2025): $556M

Long-term (due 2026–27): $1,679M

Total convertible debt: $2,235M

~100% due within 3 years — refinancing risk is significant.

Equity & Market Metrics

Ratio	2023	2024	2025
APIC / Total Equity (Vert.)	196.3%	217.0%	227.5%
Acc. Deficit / Total Equity	−96.3%	−116.9%	−127.6%
APIC YoY Growth (Horiz.)	+8.3%	+10.8%	+6.4%
Acc. Deficit Growth	+36.5%	+21.6%	+10.8%
Treasury Stock Activity	None	None	None
Dividend Payout	N/A	N/A	N/A
Dividend Yield	0.0%	0.0%	0.0%
Stock Price (Dec 31)	$40.89	$24.09	$44.25
Diluted EPS	$(2.17)	$(1.68)	$(0.96)
P/E Ratio	N/M	N/M	N/M
Market Cap ($B)	~$15.7	~$9.9	~$19.2

Trends

Unity vs AppLovin (2024)

	Unity	**AppLovin**
Revenue	$1.85B	$3.22B
Net Income	$(664M)	$1.58B
Mkt Cap	~$9.9B	~$110.1B+
Profitable	✗ No	✓ Yes

Stock Performance

2021 peak: $201.12+
2024 low: $24.09 (Dec 31)
2025 recovery: $44.25 (Dec 31)

EPS improving: $(2.17) → $(0.96)

PUMP & DUMP
ADVISORS

USE CODE "PYRAMID10" for 10% off on Fund VI Upfront Fees